



November 21, 2025

The Honorable David Rosner, Chairman
The Honorable Laura Swett, Commissioner
The Honorable Lindsay S. See, Commissioner
The Honorable Judy W. Chang, Commissioner
Federal Energy Regulatory Commission
888 First Street, NE
Washington, DC 20426

Re: Docket No. RM26-4-000: Interconnection of Large Loads to the Interstate Transmission System

Dear Chairman Rosner and Commissioners,

The Steel Manufacturers Association (“SMA”) respectfully submits the following comments on the Notice of Proposed Rulemaking pursuant to the Federal Energy Regulatory Commission’s (“FERC”) request for public comments on Interconnection of Large Loads to the Interstate Transmission System. SMA represents electric arc furnace steel manufacturers, which account for more than 70 percent of domestic steel capacity. Our members operate across the country and range in size from America’s largest publicly traded steel producers to single-facility, privately-owned family businesses. They make essential products for America’s infrastructure, national security, energy and manufacturing sectors. Most importantly, they create well-paying, community-sustaining jobs. American steelmakers have committed over \$20 billion of investments since 2018 to keep America’s steel sector strong and competitive in a global marketplace.

SMA greatly appreciates the Department of Energy and FERC's initiative to ensure that Americans and domestic industries have access to affordable, reliable and secure electricity. We also agree that large loads on the grid must be able to connect to the transmission system in a timely, orderly and non-discriminatory manner. Electric arc furnace steelmaking is the most efficient steelmaking globally, yet it requires a significant, high-demand load on the electrical grid. FERC traditionally defines "Large Loads" as greater than 20 MW; electric arc furnace steelmaking averages a load between 40 to 100 MW.

The SMA is concerned that FERC's NOPR would require new load customers to shoulder 100 percent of all network upgrade costs identified in the interconnection study. This cost allocation departs from the approach typically taken by state commissions. While data centers may be able to absorb these costs without rendering their projects uneconomic, new electric arc furnace steel mills almost certainly cannot. Imposing these costs on steelmakers would undermine the administration's strong policy commitment to expanding domestic steel production, potentially making new steel investments more costly and increasing costs for American steelmakers battling steel being dumped globally.

To safeguard such manufacturing loads, the SMA is proposing that the NOPR allow a new load to opt out of FERC jurisdiction and remain under state interconnection authority. This approach preserves a standardized, accelerated federal pathway for data centers facing state-level delays, without penalizing new manufacturing projects locating in states that actively support industrial growth. An opt out would also recognize the contrasting demand-response capacity, and attendant benefits, of loads such as electric arc furnace steel manufacturers, which can shed 80% of load with several minutes notice.

Thank you for your consideration.

Sincerely,

Brandon Farris
Vice President, Government Affairs
Steel Manufacturers Association